Notes forming part of the financial statements for the year ended 31st March 2018 (*continued*)

1. Legal Status

The Trust is registered with the Financial Conduct Authority and is registered with the Regulator for Social Housing as a social housing provider. The Trust is a charitable housing association, a company limited by guarantee under the Companies Act 2006 and is governed by its Memorandum and Articles of Association. The Trust is also registered with the Charity Commission and as such is governed by applicable Charities Act legislation. Brighton Housing Trust is public benefit entity registered in England with Charity number 284839, Regulator of Social Housing number H1696 and Company number 1618610. Registered Office is 144 London Road Brighton East Sussex BN1 4PH.

2. Accounting Policies

The financial statements have been prepared in accordance with applicable law and UK accounting standards (United Kingdom Generally Accepted Accounting Practice) which for Brighton Housing Trust includes FRS 102 "the Financial Reporting Standard applicable in the United Kingdom, the Republic of Ireland" the Statement of Recommended Practice (SORP) for Registered Social Housing Providers 2014, "Accounting by registered social housing providers" 2014, the Accounting Direction for Private Registered Providers of Social Housing 2015, and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires Trust's management to exercise judgement in applying the Trust's accounting policies. These estimates and judgements are outlined in Note 3.

The following principal accounting policies have been applied:

Income

Income is measured at the fair value of the consideration received or receivable. The Trust generates the following material income streams:

- Rental income receivable (after deducting lost rent from void properties available for letting);
- Service charges receivable;
- Revenue grants from statutory and other authorities;
- Legal Aid Association income.

Rental Income

Rental income from residential properties is recognised in the Statement of Comprehensive Income when it falls due.

Supported housing schemes

The Trust receives Supporting People grants from a number of Boroughs and County Councils. The grants received in the period as well as costs incurred by the Trust in the provision of support services have been included in the Statement of Comprehensive Income. Any excess of cost over the grant received is borne by the Trust where it is not recoverable from tenants.

Service charges

The Trust adopts the fixed method for calculating and charging service charges to its tenants and leaseholders. Expenditure is recorded when a service is provided and charged to the relevant service charge account. Income is recorded based on the estimated amounts chargeable.

Legal Aid Association Income

Legal Aid income is accounted for when earned. Income is recognised at agreed rates for all work carried out up to the balance sheet date. Any income earned, where full settlement will not be received until the case is closed, is accrued and stated at the lower of cost and net realisable value.

Management of units owned by others

Rent and grant income receivable are included in income. The costs of carrying out the management of contracts and rechargeable expenses are included in operating costs.

Schemes managed by agents

Income from these schemes is included within rent receivable. The costs associated with these properties relate to depreciation and loan interest. No management fees are charged by the agents.

Notes forming part of the financial statements for the year ended 31st March 2018 (*continued*)

4 Particulars of turnover, cost of sales, operating costs and operating surplus

	Turnover	Operating costs	Operating surplus/ (deficit)
	2018 £	2018 £	2018 £
Social Housing Lettings (Note 5)	**6,380,394**	**(5,590,637)**	**789,757**
Other Social Housing Activities			
Supporting people	**1,274,322**	**(1,235,390)**	**38,932**
Other	**1,144,412**	**(1,117,704)**	**26,708**
Total Social Housing	**8,799,128**	**(7,943,731)**	**855,397**
Activities other than Social Housing Activities (Note 6)			
Legal Advisory Services	**1,204,996**	**(1,635,480)**	**(430,484)**
Day Centre	**455,813**	**(553,812)**	**(97,999)**
Non-housing rent income	**27,457**	**(27,457)**	**-**
Other activities	**1,836,213**	**(1,748,344)**	**87,869**
Total Activities other than Social Housing	**3,524,479**	**(3,965,093)**	**(440,614)**
Total	**12,323,607**	**(11,908,824)**	**414,783**

	Turnover	Operating costs	Operating surplus/ (deficit)
	2017 £	2017 £	2017 £
Social Housing Lettings (Note 5)	6,432,704	(5,365,639)	1,067,065
Other Social Housing Activities			
Supporting people	1,362,333	(1,277,377)	84,956
Other	1,077,112	(1,018,175)	58,937
Total Social Housing	8,872,149	(7,661,191)	1,210,958
Activities other than Social Housing Activities (Note 6)			
Legal Advisory Services	1,557,956	(1,801,249)	(243,293)
Day Centre	442,472	(498,028)	(55,556)
Non-housing rent income	34,177	(34,177)	-
Other activities	1,994,404	(1,921,439)	72,965
Total Activities other than Social Housing	4,029,009	(4,254,893)	(225,884)
Total	12,901,158	(11,916,084)	985,074